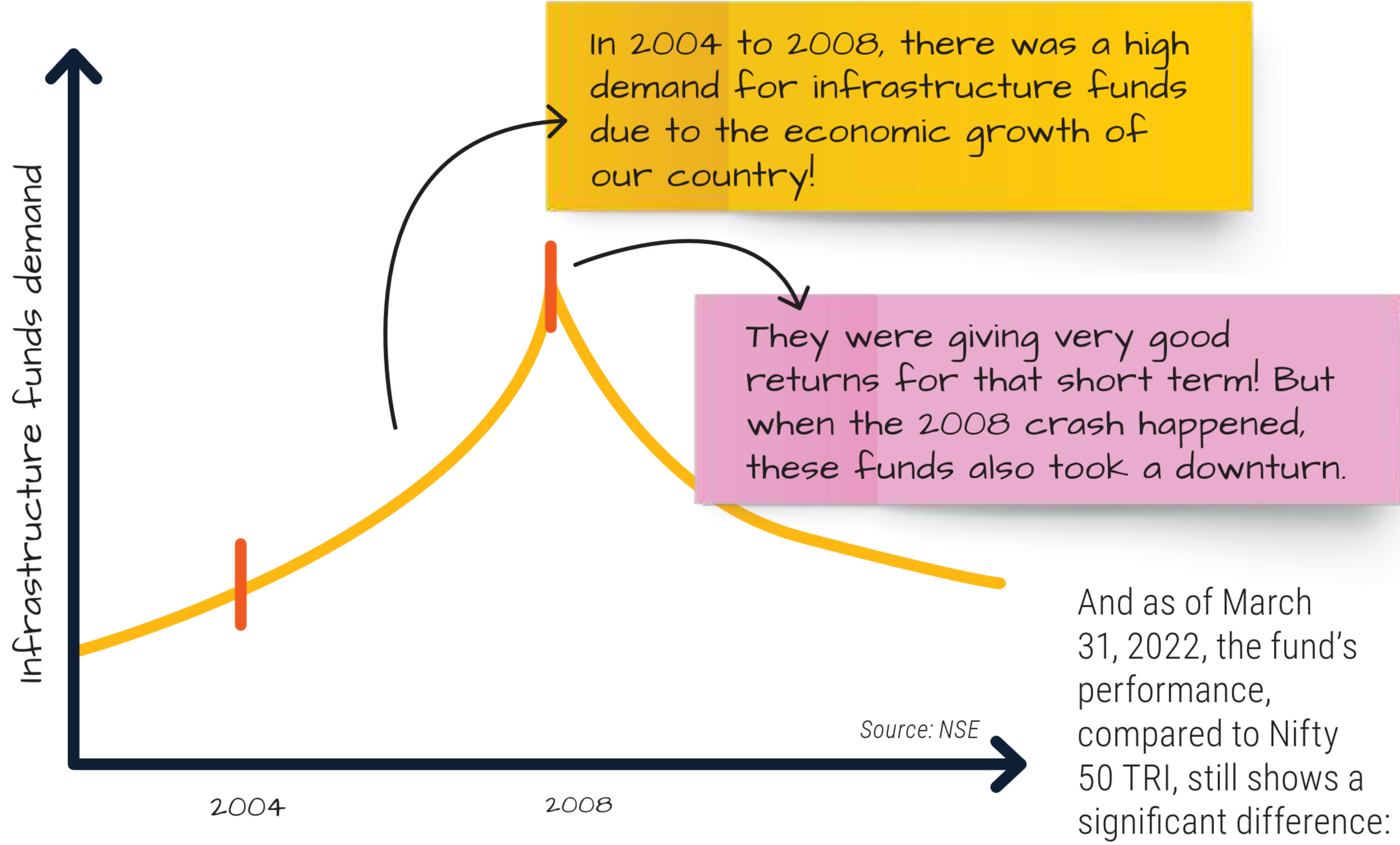


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So, avoiding sectoral funds is the best option if one does not have any knowledge of the particular sector. To understand this better, let's consider the UTI Infrastructure Fund, which concentrates solely on the Infrastructure Sector.



Particulars	1 Year	3 Years	5 Years	10 Years
UTI infrastructure fund	14.27%	11.78%	8.62%	10.47%
Nifty 50 TRI	20.26%	15.82%	15.14%	14.07%
Difference	-5.99%	-4.04%	-6.52%	-3.6%

Initial Investment:
₹ 1,00,000

Returns:
UTI Infrastructure Fund: Rs 2,45,000
Nifty 50: Rs 3,26,000
Difference: Rs 81,000

Investing in Nifty 50 yielded a substantial Rs 81,000 more compared to UTI Infrastructure Fund.

So, the bottom line is, unless you have a solid understanding of a specific sector, avoiding sectoral funds might be the safer bet.

*The fund here is an example, not a recommendation. It is only for educational purposes.